



COVENANT

Compliance-native institutional credit infrastructure for fixed-rate, fixed-maturity on-chain lending.

BUSINESS PLAN · 2026

Prepared for institutional partners, regulatory reviewers, and prospective investors.

01 · EXECUTIVE SUMMARY

The company at a glance

Covenant is a compliance-native infrastructure layer for institutional on-chain credit. We combine a fixed-rate, fixed-maturity lending engine with a native gate layer purpose-built to carry real compliance logic — identity verification, jurisdictional policy enforcement, sanctions screening, and audit-trail generation — enforced at the smart-contract level, not bolted on off-chain.

The \$130 trillion global fixed-income market has almost no on-chain presence, and the reason isn't technical. The infrastructure exists. What's missing is a compliance layer institutions can legally use. Covenant is that layer.

Our differentiator is the **Tiered Credit Ladder**: verified identity does not merely grant access to a market — it prices the loan. A bank-verified counterparty and an anonymous-but-credentialed wallet borrow the same asset, in the same block, on the same engine, and post materially different collateral, because the credential each carries sets the loan-to-value they receive. Compliance stops being a cost centre and becomes the thing institutions are paid for. That is the commercial argument for choosing a regulated venue over a permissionless one, and it is enforced in settlement rather than asserted in a policy document.

Snapshot

Company	Covenant
Sector	Institutional DeFi · On-chain fixed income · RWA infrastructure
Product	Compliance-gated fixed-maturity credit markets
Stage	Hackathon MVP · Design-partner pilot planned
Key partnership	Cleanverse (identity, policy, audit primitives)
Model	Origination fees · Integration licensing · Compliance-as-a-Service
Founding target	Q4 2026 testnet pilot · Q2 2027 mainnet launch

02 · COMPANY DESCRIPTION

What Covenant is, and why it exists

Mission

Give regulated institutions — banks, tokenized-deposit providers, RWA issuers, and licensed lenders — a way to originate, hold, and settle on-chain credit under the same compliance obligations they meet in traditional markets, without sacrificing the settlement guarantees, transparency, or programmability that make on-chain infrastructure attractive in the first place.

Problem

DeFi lending today is either variable-rate (Aave, Compound) or permissionless fixed-rate. Neither works for institutional counterparties. Banks and RWA issuers cannot legally extend credit to anonymous wallets, cannot participate without jurisdiction-aware transfer rules, and cannot operate without audit trails regulators can extract on demand.

The standard industry response — bolt KYC onto a protocol as an off-chain side process — creates a permanent gap between “who passed KYC” and “who actually holds the position.” That gap is a regulatory liability and, in practice, has kept institutional capital off-chain.

Solution

Covenant embeds compliance primitives — non-transferable identity tokens, an on-chain policy engine, and audit-ready extractable data — directly into the lending market's own access-control layer. Every lend, borrow, and liquidation call is gated. Compliance becomes a mechanical property of the market, not an external process.

Legal & Regulatory Positioning

Covenant is infrastructure, not a licensed financial institution. We do not custody assets, issue tokens, or act as counterparty to any loan. Licensed institutions using Covenant markets remain the regulated actors; Covenant supplies the technical rails and the compliance-enforcement layer that make those markets viable for them.

03 · MARKET ANALYSIS

Institutional on-chain credit is a category, not a niche.

Market size

The global fixed-income market exceeds \$130 trillion. On-chain fixed income sits at a fraction of a fraction of one percent of that. The bottleneck is not investor demand — tokenized U.S. Treasury products alone have grown past \$2 billion in under two years with almost no institutional marketing behind them. The bottleneck is that most institutions cannot legally use the venues that exist.

Segments we serve

Segment	Need	Why Covenant
RWA Issuers	Compliant fixed-income rails for tokenized assets	Covered markets from origination through maturity
Tokenized-Deposit Banks	On-chain settlement for regulated stablecoins	Unilateral aware transfer rules enforced on-chain
Institutional Stablecoin Issuers	Compliant venues that don't reintroduce custody	Not a custody gate; audit trail by construction
Licensed Lenders	Fixed-rate term facilities with regulated counterparty	Verified interparty pool; policy-engine-cleared trades

Competitive landscape

Existing venues either sacrifice compliance for openness (permissionless lending markets) or sacrifice on-chain guarantees for compliance (KYC-wrapped gateways operating alongside protocols they don't control). Institutional custody providers offer compliance for asset holding but no primitive for fixed-rate credit. Covenant occupies the missing quadrant: on-chain settlement guarantees and enforceable compliance in the same venue.

Trend tailwinds

- Growing regulatory clarity on tokenized deposits and RWA issuance in the EU (MiCA), Singapore (MAS), and the UAE (VARA).
- Major banks piloting tokenized-deposit rails; regulated stablecoins moving from experiment to standard settlement asset.
- Institutional appetite for compliant on-chain yield rising as traditional fixed-income duration compresses.

04 · PRODUCT

What we build

The gate layer

The core product is **CovenantGate**, a smart contract implementing the market's native gate hooks (`canIncreaseCredit`, `canIncreaseDebt`, `canLiquidate`). Every position change is intercepted and cleared against Cleanverse's on-chain identity and policy engine before it executes.

The Tiered Credit Ladder

Covenant's differentiator: **verified identity prices the loan**. The credit ladder deploys multiple markets for the same asset pair, each with its own compliance gate and loan-to-value ratio. A verified institution posts 109k collateral to borrow 100k (91.5% LLTV) at the top rung. A verified retail wallet posts 260k for the same loan (38.5% LLTV) at the bottom rung. The credential tier each wallet carries determines which rung they access — and capital efficiency becomes the economic reward for verified identity, not just a regulatory cost. The gate address that checks the credential is cryptographically bound to the market id that sets the LLTV, so the policy and the price are the same immutable object.

Rung	Credential bar	LLTV	Collateral for \$100k	Who qualifies
3 — Institutional	Sub-tier 30	91.5%	\$109k	Bank-verified entity
2 — Professional	Sub-tier 20	77.0%	\$130k	Verified individual
1 — Retail	Sub-tier 10	38.5%	\$260k	Any valid credential
0 — No credential	—	—	Cannot open	Denied at the gate

Critically, the ladder required **no changes to the credit engine**. It is expressed entirely through invariants the protocol already had: per-collateral LLTV, gate addresses inside the market identity hash, and increase-only gating. Adding a rung — a fund-only tranche, a jurisdiction-scoped tranche — is a deployment, not an upgrade. That is what makes the model extensible without reintroducing protocol risk.

The market factory

A periphery contract lets a Cleanverse-onboarded institution deploy a fixed-maturity credit market with the gate pre-installed and asset eligibility pre-restricted to Cleanverse-approved instruments — compliance is a property of the market from creation, not something added later.

Identity lifecycle handling

The gate is aware of identity state: fresh, expired, revoked, re-verified. Position increases can be blocked mid-life while allowing in-flight positions to settle at maturity — you cannot strand an

institution's capital because of an expired credential, but you also cannot let a revoked party open new exposure.

This asymmetry is what makes the ladder safe to deploy against real money. A counterparty whose credential is downgraded or frozen loses access to new borrowing at the rung they previously cleared, but their open position remains repayable and their collateral remains withdrawable. Compliance revocation halts new risk without stranding committed capital — the property an institutional credit committee asks about first, and the reason a compliance event here does not trigger a forced liquidation.

The regulator report

A read-side product that resolves on-chain events against Cleanverse identity data and produces a human-readable compliance report: who lent to whom, in what jurisdiction, at what rate, against what collateral, settled when. Zero manual reconciliation. This is what turns Covenant from a compliance mechanism into an audit product.

Roadmap

Phase	Timeline	Deliverable
Hackathon MVP	Now	CovenantGate + Tiered Credit Ladder (3 rungs, lens router, deployment s
Design Partner	Q4 2026	Testnet pilot with one RWA issuer or licensed lender; ladder tuned to part
Multi-Jurisdiction	Q1 2027	Per-market policy profiles; 3+ jurisdictions supported; jurisdiction-scoped
Mainnet Launch	Q2 2027	Production deployment; reference integration published; audited ladder
Scale	Q3 2027+	SDK for other protocols; multiple gated market types; fund-only and secto

Go-to-market

Positioning

Covenant is not a “DeFi protocol.” It’s *infrastructure a regulated institution can approve*. Our positioning, materials, and outbound language avoid the retail crypto lexicon entirely. Comparable brands in tone: Fireblocks, Chainalysis, Modern Treasury, Plaid — enterprise financial infrastructure, quietly confident, technically precise.

Acquisition — three channels

- **Cleanverse ecosystem.** Every institution onboarded to Cleanverse is a candidate market creator. We build the launch and pipeline motion as a joint offering.
- **Design-partner marquee.** One anchor issuer (RWA or tokenized deposit) running a real fixed-maturity facility on Covenant becomes the reference case for the next ten.
- **Regulator-facing content.** The audit-trail product is the wedge that gets Covenant into the room with supervisors, not just with counterparties.

Sales motion

Enterprise. Long cycle. Small number of high-value contracts. We expect first-touch → signed pilot to run 3–6 months for design partners and 6–12 months for post-pilot institutional adoption. Deals are structured around a specific market template (jurisdiction, asset pair, policy profile), not a generic platform license.

Team & structure

Founding structure

Covenant is founder-led at the hackathon stage. Immediate hires post-pilot will target three functions: protocol engineering (Solidity + formal verification), institutional partnerships (banking / RWA background), and regulatory affairs. Ownership and cap-table structure will be established at incorporation, with founder equity, an employee pool, and reserved allocation for a design-partner strategic round.

Advisors we intend to recruit

- One advisor from an existing tokenized-deposit programme at a G-SIB or national regulator.
- One advisor with securities or banking supervisory experience in the EU, UAE, or Singapore.
- One advisor from Cleanverse or a comparable identity/policy protocol.

Operating principles

- Formal verification of the gate and factory contracts before any mainnet deployment.
- Public audit reports from at least two independent security firms before design-partner mainnet activation.
- No custody, no counterparty exposure, no protocol treasury of user assets.

07 · FINANCIAL PROJECTIONS

Model

Covenant's revenue derives from three streams. Numbers below are planning targets under a base-case adoption path — one anchor design partner in Year 1, five active institutional counterparties in Year 2, and mid-teens counterparties supporting multiple market templates by Year 3. They assume conservative fee capture (single-digit basis points on notional) and no equity-token or speculative revenue.

Revenue streams

Stream	How it's earned	Base assumption
Origination fees	Bps on notional credit issued in gated markets	~3–8 bps blended
Integration licensing	Fee for pre-configured market templates per jurisdiction	Annual, per template
Compliance-as-a-Service	Ongoing per-market policy management and sync	Recurring, per market

3-year projection (illustrative)

Year	Active Markets	Notional Issued (USD)	Blended Revenue (USD)
Y1	1 pilot	\$50M – \$150M	\$0.2M – \$0.6M
Y2	5 markets	\$500M – \$1.2B	\$2M – \$6M
Y3	15 markets	\$2B – \$5B	\$8M – \$25M

These are planning ranges, not forecasts; they exist to size the opportunity and the capital requirement, not to promise outcomes. Actuals will depend on regulatory posture in each target jurisdiction, design-partner throughput, and Cleanverse adoption velocity.

Capital plan

We plan a seed round following the hackathon and design-partner commitments, sized to cover 18–24 months of protocol engineering, audits, formal verification, regulatory affairs, and institutional sales. Follow-on capital timed to mainnet launch and second-jurisdiction expansion.

08 · FUNDING REQUEST

What we need to get to mainnet

Round	Seed
Target	USD 2.5M – 4.0M
Runway	18–24 months to mainnet + first two design partners live
Instrument	SAFE or priced equity round, standard institutional terms
Use of proceeds	Protocol engineering (45%) · Audits & formal verification (20%) · Regulatory affairs (15%) · IP
Ideal investors	Institutional-DeFi-focused funds; strategic partners with regulated finance reach

What the round buys

- A production-hardened, independently audited, formally verified gate and market-factory suite.
- Two live design-partner facilities on testnet, one on mainnet by end of runway.
- Regulatory sign-off relationships in at least two priority jurisdictions.
- The reference integration published to both the underlying credit protocol and the Cleanverse ecosystem — a distribution lever for the next round.

APPENDIX

Risks & mitigations

Risk	Mitigation
Regulatory divergence across jurisdictions	Per-market policy profiles; jurisdiction-scoped market templates.
Cleanverse adoption slower than modeled	Gate abstraction supports additional identity/policy providers over time.
Smart-contract risk (gate, factory)	Multiple independent audits; formal verification; conservative launch cadence.
Institutional sales cycle length	Design-partner anchor before broad go-to-market; long capital runway.
Compliance drift (sanctions, rules updates)	Policy engine reads live; no cached snapshots; Compliance-as-a-Service line cov

Glossary

CovenantGate — the smart contract implementing the market's native gate hooks, backed by Cleanverse's identity and policy engine.

Fixed-rate, fixed-maturity credit — on-chain lending in which rate and settlement date are fixed at origination, analogous to a zero-coupon obligation.

Cleanverse — compliance-infrastructure partner providing non-transferable identity tokens, an on-chain policy/rules engine, and audit-ready extractable data.

RWA (Real-World Assets) — off-chain financial assets represented on-chain as programmable tokens.

Travel Rule — a regulatory requirement that value transfers above a threshold carry originator/beneficiary information between financial institutions.

Covenant is a work in progress. This document reflects intent and plan as of the date on the cover. Numbers are planning targets, not forecasts. Nothing herein constitutes an offer of securities or investment advice.